SAP S/4HANA MM: Procure-to-Pay (P2P) Process Guide

End-to-end flow, key transactions, accounting impact and common issues | Author: Manikandan S

1. Overview

Procure-to-Pay covers everything from identifying a need for material or service to paying the vendor. In SAP S/4HANA, the MM, FI and (for stock) inventory valuation components work together, so every step in MM can create a matching financial posting. This guide summarises the standard flow and where problems usually appear.

2. Process flow and key transactions

Step	What happens	Classic T-code	Fiori app (typical)
1. Purchase Requisition (PR)	Need is raised manually or by MRP	ME51N / ME52N / ME53N	Create Purchase Requisition
2. Source determination	Source list, info record, contract or scheduling agreement used to find vendor and price	ME01, ME11, ME31K, ME31L	Manage Purchase Contracts
3. RFQ and Quotation	Vendors are invited to quote; quotes compared	ME41, ME47, ME49	Request for Quotation apps
4. Purchase Order (PO)	Binding order sent to the vendor; release strategy may apply	ME21N / ME22N / ME23N	Create Purchase Order - Advanced
5. PO Release	Approvers release the PO as per strategy	ME28, ME29N	Release Purchase Orders
6. Goods Receipt (GR)	Material received against PO; stock and GR/IR updated	MIGO (movement 101)	Post Goods Receipt for PO
7. Invoice Verification	Vendor invoice matched to PO and GR	MIRO	Create Supplier Invoice
8. Payment	Vendor paid by Finance	F110 / F-53	Manage Payment Proposals

Note: Fiori app names vary by release; confirm the exact apps in your system's Fiori launchpad.

3. Accounting impact (standard valuation, stock material)

Event	Debit	Credit
Goods Receipt (101)	Inventory (BSX)	GR/IR Clearing (WRX)
Invoice Receipt (MIRO)	GR/IR Clearing (WRX)	Vendor (reconciliation account)
Price difference (if any)	Price Difference (PRD) or Inventory, depending on price control	Vendor / GR/IR

The GR/IR account should net to zero once both goods and invoice are posted for the same quantity and value. A balance that stays open for long usually means a missing GR, a missing invoice, or a quantity or price mismatch.

4. Three-way match

MIRO checks the invoice against the PO price and the goods received. If the difference is beyond the tolerance set in configuration, the invoice is **blocked** for payment. Typical block reasons:

- **Price** - invoice price is higher than PO price beyond tolerance.
- **Quantity** - invoiced quantity exceeds quantity received.
- **Date / Amount** - date or item amount tolerance exceeded.
- **Manual** - blocked by the user for review.

Blocked invoices are reviewed and released in **MRBR**. Tolerance limits are maintained in configuration (T-code OMR6).

5. Key master data

- **Material master** (MM01/MM02): purchasing view, MRP views, plant data, valuation class and price control.
- **Vendor master** (BP in S/4HANA): business partner with supplier role, purchasing data and payment terms.
- **Purchasing info record** (ME11): vendor-material price and delivery data.
- **Source list** (ME01): approved vendors and validity periods for a material and plant.

6. Common issues and where to look

Symptom	Likely cause	Where to check
PO not created from PR	No source of supply, or PR already assigned	ME5A / ME57, source list, info record
Wrong price on PO	Info record or contract condition invalid or expired	ME13 / ME33K, condition validity dates
GR not possible	PO not released, delivery complete, or posting period closed	ME23N release status, MMPV / MMRV
Invoice blocked	Price or quantity outside tolerance	MIRO block reason, MRBR, OMR6
GR/IR balance not clearing	Missing invoice or GR, or price variance	MB5S, MR11
Account determination error	Valuation class or OBYC key not maintained	MM03 valuation class, OBYC, OMWB simulation

7. Good practice

- Always check document flow (PO history tab in ME23N) before changing anything.
- Use the PO history to compare GR and invoice quantities and values.
- Keep source lists and info records current to avoid wrong vendor or price determination.
- Document the root cause and fix of every recurring issue so that repeat tickets are reduced.

All examples are generic. T-codes and Fiori apps are standard SAP; availability can vary by S/4HANA release and configuration.